

no grade (0%)

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Attempt 1 of 10

Question 1 of 10

1. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the net present value (NPV) of the project?

☐ \$100,000

☐ \$90,909

☐ \$81,000

☐ \$72,767

2. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the internal rate of return (IRR) of the project?

☐ 10%

☐ 11%

☐ 12%

☐ 13%

3. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the payback period of the project?

☐ 10 years

☐ 9 years

☐ 8 years

☐ 7 years

4. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the break-even point of the project?

☐ 10 years

☐ 9 years

☐ 8 years

☐ 7 years

5. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the sensitivity of the NPV to the cost of capital?

☐ High

☐ Medium

☐ Low

☐ Very Low

6. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the sensitivity of the IRR to the cost of capital?

☐ High

☐ Medium

☐ Low

☐ Very Low

7. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the sensitivity of the payback period to the cost of capital?

☐ High

☐ Medium

☐ Low

☐ Very Low

8. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the sensitivity of the break-even point to the cost of capital?

☐ High

☐ Medium

☐ Low

☐ Very Low

9. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the sensitivity of the NPV to the cash flow?

☐ High

☐ Medium

☐ Low

☐ Very Low

10. A company is considering a new product. The product is expected to generate a cash flow of \$100,000 per year for the next 10 years. The company's cost of capital is 10%. What is the sensitivity of the IRR to the cash flow?

☐ High

☐ Medium

☐ Low

☐ Very Low